

easiest ways to spot hedge funds has been their high fee structure. For example, many hedge funds operate under a 2 and 20 model, or sometimes 3 and 30, where they charge a 2 percent annual management fee and take 20 percent of the profits from a year. Other common characteristics include their exclusivity and general secrecy.

Prior to the 2008 financial crisis, investors who took advantage of hedge fund performance and the alternative investments they utilized were typically of ultra-high net worth with sizeable investable assets, given that often the minimum investment was \$1 million or more to gain entry. Additionally, investors had to tie up their funds for lengthy periods as part of the agreement with the hedge fund manager.

While mutual funds provide a prospectus that outlines exactly the approach and asset classes to be used, hedge funds are often veiled in secrecy. They might publicly advertise a broad investment strategy, but specifics are often withheld to preserve the secret sauce of the hedge fund. Hedge fund managers demand a high amount of flexibility and tolerance from their clients.

For example, hedge fund managers could buy real estate or take ownership in what they believe to be an undervalued company (either publicly or privately held). If they believe upcoming political changes may favor oil, they could lease oil tankers or make a sizeable investment in a foreign oil partnership. They can also utilize assets such as timber, short positions in stocks (meaning they're betting on the price